

allocation to bonds and a 60 percent equity allocation because she is in a much better financial situation.

CHAPTER SUMMARY

Selecting an appropriate asset allocation during all phases of life is essential to your long-term investment plan. A successful investment plan incorporates the basic necessities of broad diversification, stability, tax management, and growth, while also including special styling that makes a portfolio unique to the person who intends to use it.

While all investors are alike in some ways, they are different in many others. Accordingly, most investment portfolios will be broadly similar in some ways and unique in others. If you manage your portfolio well over the years and do not become emotional about investment decisions, then it should pay dividends to you through retirement and eventually be passed on your heirs.

A life-cycle methodology is one strategy for beginning your quest to discover an appropriate asset allocation. The asset allocation and investment selections for the four stages of life provided here are only guides. You will need to adjust the portfolios to fit your specific situation as you age, and your “allocation age” in bonds may be a good solution.

NOTE

¹Jacob S. Rugh, “Premium and Asset Allocations of Premium-Paying TIAA-CREF Participants as of March 31, 2004,” TIAA-CREF Institute, www.tiaa-crefinstitute.org.